CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



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MSME

Q1. Define MSME enterprises, with classification under the MSMED Act, 2006.

(June 2025 3/4 Marks)

Ans. MSME - MSME Stands for Micro, Small and Medium Enterprises which has become a crucial sector to provide large scale employment with low Capital base and is defined based on the investment and turnover criteria as per MSMED Act, 2006.

New MSME Classification Criteria (Effective April 1, 2025)

Revised MSME Criteria (2025): On March 21, 2025, the Ministry of MSME announced an amendment to the criteria outlined in the MSMED Act, effective from April 1, 2025.

Micro Enterprise:

Investment in Plant & Machinery/Equipment: Not more than ₹2.5 crores.

Annual Turnover: Not more than ₹10 crores.

Small Enterprise:

Investment in Plant & Machinery/Equipment: Not more than ₹25 crores.

Annual Turnover: Not more than ₹100 crores.

Medium Enterprise:

Investment in Plant & Machinery/Equipment: Not more than ₹125 crores.

Annual Turnover: Not more than ₹500 crores.

(On March 21, 2025, the Ministry of MSME announced an amendment to the criteria outlined in the MSMED Act, effective from April 1, 2025.

This revision raised the investment and turnover thresholds approximately 2.5 times:

for Micro enterprises, the investment limit increased from ₹1 crore to ₹2.5 crores, and the turnover limit from ₹5 crores to ₹10 crores;

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for Small enterprises, the investment limit rose from ₹10 crores to ₹25 crores, and the turnover limit from ₹50 crores to ₹100 crores;

for Medium enterprises, the investment threshold went from ₹50 crores to ₹125 crores, and the turnover limit from ₹250 crores to ₹500 crores.)

Q2. All dues of MSME vendor have to be paid in time. In case of delay in making the payment, there will some disallowances or interest payments to be made by the buyer under the Micro, Small and Medium Enterprises Development Act, (MSMED, Act, 2006). You are required to throw light on the same. What are to disclosed in Financial Statements by the buyer entities? (Dec 2024 7 Marks)

Ans. Consequences of making delayed payments by the buyers to MSMEs Due date as per law-

The buyer is to make payment on or before the date agreed on between him and the supplier in writing or, in case of no agreement, before the appointed day. The agreement between seller and buyer shall not exceed more than 45 days.

1. **Interest payment on outstanding dues**- The Company is liable to pay interest on delayed payment to MSME registered supplier. Rate of Interest (Compound interest with monthly rests to the supplier on the amount from the appointed day or, on the date agreed on) shall be three times of the bank rate notified by the Reserve Bank.

2. **Income tax disallowance** – Section 43B(h) of the Income Tax Act, introduced in 2023, aims to ensure timely payments to Micro, Small and Medium Enterprises (MSMEs). This clause stipulates that any payments owed to MSMEs, not resolved within 45 days, will not qualify for allowable expenses till it is paid. Deduction will be allowed only in the year of actual payment.

3. **Reporting in Financial Statement**- In the notes to Accounts the company has have to give lot of new disclosures of default as mentioned above in their financial statement. Buyers who are required to have their annual accounts audited must include the following information in their annual financial statements:

a) The principal amount and interest due to the supplier
b) The interest paid by the buyer to the supplier

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4. Tax Auditor to report the amount of interest inadmissible u/s 23 of the Micro, Small and Medium Enterprises Development Act, 2006(MSMED, Act 2006), read with section 44AB of the Income-tax Act, 1961.

Q3. State the time limit for payments to be made by buyers to MSMEs and the consequences of delayed payment to them. (June 2024 4 Marks)

Ans. The payments to MSME units shall exceed 45 days from the date of acceptance or the day of deemed acceptance.

- In case of failure to do so, the buyer shall be liable to pay compound interest with monthly rests to the supplier on that amount from the appointed day or, as the case may be; from the date immediately following the date agreed upon by the parties. The interest shall be payable at three times of the bank rate notified by the Reserve Bank.
- Where any buyer is required to get his annual accounts audited under any law for the time being in force, such buyer shall furnish the following additional information in his annual statement of accounts, namely: the principal amount and the interest due thereon (to be shown separately) remaining unpaid to any supplier as at the end of each accounting year;
- Interest not to be allowed as deduction from income.

Q4. Describe in brief the Digital MSME Scheme and Emergency Credit Line Guarantee Scheme for MSME Sector. (Dec 2023 8 Marks)

Ans. Digital MSME Scheme - The digital MSME is a Govt scheme for the MSME that was launched for promoting information and communication technology (ICT) in the MSME Sector by adopting ICT tools and applications in the production and business process of MSMEs. The services that will be available for MSMEs through various service providers include:

- ERP
- Accounting
- Manufacturing Design
- Regulatory Compliance including GST

The digital MSME Scheme is aimed at creating awareness supporting developments and e-platforms, thereby creating literacy, training and promoting digital marketing in MSME sectors.

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Emergency Credit Line Guarantee Scheme (ECLGS) - The ECLGS was launched by the Govt of India as a special scheme, considering the Covid-19 crisis.

The scheme aims to provide 100% guarantee coverage to banks and NBFCs to enable them to extend emergency credit facilities to business enterprises / MSMEs in view of Covid-19 to meet their additional term loan or additional working Capital requirements.

100% Guarantee coverage for the additional funds sanctioned under the emergency credit line scheme.

EXTRA PRACTICE QUESTIONS

Q5. The buyer is liable to make payment on or before the appointed day but in case of failure or dispute, any party may move to an authority. Explain.

OR

Q6. Write short note on - Reference to Micro and small Enterprises Facilitation Council.

Ans. (1) Any party to a dispute may, with regard to any amount due under section 17, make a reference to the Micro and Small Enterprises Facilitation Council.

(2) On receipt of a reference, the Council shall either itself conduct conciliation in the matter or seek the assistance of any institution or centre providing alternate dispute resolution services by making a reference to such an institution or centre, for conducting conciliation

(3) Where the conciliation initiated as above is not successful and stands terminated without any settlement between the parties, the Council shall either itself take up the dispute for arbitration or the centre providing alternate dispute resolution services shall have jurisdiction to act as an Arbitrator or Conciliator under this section in a dispute between the supplier located within its jurisdiction and a buyer located anywhere in India.

(4) Every reference made under this section shall be decided within a period of 90 days from the date of making such a reference.

Q7. What benefits does the schemes/ programmes undertaken by the Ministry and its organizations seek to facilitate/provide ?

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Ans. The schemes/ programmes undertaken by the Ministry and its organizations seek to facilitate/provide:

i) flow of credit from financial institutions/banks;

ii) technology upgradation and modernization;

iii) infrastructural facilities;

iv) modern testing facilities and quality certification;

v) access to modern management practices;

vi) entrepreneurship development and skill upgradation ;

vii) support for product development, design intervention and packaging;

viii) welfare of artisans and workers;

ix) assistance for better access to domestic and export markets etc.

Q8. What is appointed day?

Answer: **Appointed day** means the day following immediately after the expiry of the period of fifteen days from the day of acceptance or the day of deemed acceptance of any goods or any services by a buyer from a supplier.

"the day of acceptance" means,-

(i) the day of the actual delivery of goods or the rendering of services; or

(ii) where any objection is made in writing by the buyer regarding acceptance of goods or services within fifteen days from the day of the delivery of goods or the rendering of services, the day on which such objection is removed by the supplier;

"the day of deemed acceptance" means,

where no objection is made in writing by the buyer regarding acceptance of goods or services within 15 days from the day of the delivery of goods or the rendering of services, the day of the actual delivery of goods or the rendering of services;

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Q9. Balaram is school drop out but took over his father's business after his sudden death. The business, a proprietorship firm, is manufacturing and selling rubber spares and is located at remote place in the District of West Bengal. Turnover of business was Rs 3.42 crores. Though not audited or evaluated, the investment in plant and machinery is around Rs 93 lakhs. The business is not registered with DIC but with GST. He pays income tax.

He wants to expand his business and wants to know:

(i) What category of industry the business is falling?

(ii) Is registration compulsory?

(iii) Where to register?

(iv) What are the benefits of registration?

Solution:

(i) The business falls under micro enterprise as defined under MSME Act and Rules. Since the Investment in Plant & Machinery/Equipment: Not more than ₹2.5 crore. AND Annual Turnover: Not more than ₹10 crore.

(ii) Registration is not compulsory but lot of benefits are not available to unregistered parties.

(iii) To get an MSME registration, known as Udyam Registration, register online through the official Udyam Registration portal. One can approach the DIC for various services after obtaining Udyam Registration (District Industries Centre)

(iv) Registered units shall get the benefit of loan, loan repayment moratorium, tax holiday, price preference by Govt. organizations etc.

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